بسمِ اللہ الرَّحمٰن الرَّحیم

Mgt101

Final term Notes

Most Important & Repeated Subjective Final Term

Youtube Channel Learning With A&I

https://youtube.com/channel/UC_Ar-KkTPqjaljUX2LimmOQ

Subscribe Youtube Channel to Get More Post

Whatsapp 03131778082

QUESTION NO 1

Define Fixed Assets and Depreciation?

ANSWER:

Fixed Assets

Fixed Assets are also known as long life asset, tangible asset or property, plant and equipment.

Fixed assets cannot easily converted into Cash.

Type of Fixed Assets

- **Land**
- **Building**
- **Plant and Machinery**
- **Furniture and Fixtures**
- **Office Equipment**
- **Vehicles**

Learning With A&I

QUESTION NO 2

Define Depreciation?

Answer:

Depreciation is an accounting method of allocating the cast of tangible asset over it useful life. Depreciation represents how much of an assets value has been used.

Calculating Method of Depreciation

Straight line Method

Reducing Balance Method

Service Hour Method

Units output / Produced Method

Sum of Year Digit Method

Straight line Method

Depreciation Amount + useful life = Depreciation

Reducing Balance Method

Residual Value ÷ cost × 100 = Depreciation %

Service Hour Method

Total Estimated hour + Depreciation Amount

= Depreciation Rate per Hour

Units Output / Produced Method

Total Estimated output ÷ Depreciation Amount

= Depreciation Rate per Hour

Sum of Year Digit Method

We simply divided assets value on it's useful life = Depreciation of year

Asset value ÷ useful life = Depreciation year

Learning With A&I

QUESTION NO 3

Define Trade of allowance?

Answer:

When an old asset is exchange with a new asset the seller of new asset will offer an allowance while receiving payment for seller asset in consideration of the exchange of old asset. Such allowance is known as trade of allowance.

Module No 11

Control Account

QUESTION NO 1

Define Ledger Account?

Answer:

Ledger is an account that used to store bookkeeping entries for balance sheet and income statement.

QUESTION NO 2

How many types of ledger?

Learning With A&I

ANSWER:

There are Three types of ledger

General

Debtors

Creditors

QUESTION NO 3

Formats of Debtors and Creditors Control Account

ANSWER:

While Preparing Debtors control Account it must be noticed that its debit side should show the item that will cause increase in debtors balance and items in credit side will cause a decrease in debtors balance.

In the same way item that will cause increase in creditors balance are put in its credit side and items that will cause decrease in creditors balance are put in the debit side of creditors control Account.

Question No 4

Define Control Account?

Answer:

An account in the ledger for which a corresponding subsidiary ledger account also known as an adjustment account.

Question No 5

Define Journalizing?

Answer:

Posting all transaction from journal to ledger is called Journalizing.

Question No 6

Define Bookkeeping?

Learning With A&I

Answer:

Bookkeeping is a process of recording all financial transaction made by a business. In bookkeeping we recording, classifying, and organizing all financial transaction.

Module No 12

Rectification of Error

QUESTION NO 1

Define Rectification or Error?

Answer:

While performing in financial accounting, recording, posting and reporting, there could be same instances of error and omissions in the presence of which the financial statements do not economic phenomena of the entity. These errors and omissions need to be corrected according to the accounting rules.

Learning With A&I

Types of Error

1. **Those errors that do not cause a difference in trial balance agreement**
2. **Those errors that do cause a difference in trial balance agreement.**

QUESTION NO 2

Reason of Error

Answer:

Error of omission

Error of commission

Error of principle

Error of original entry

Compensating error

Error of omission

When financial information is completely omitted for recording in the books of original entry e.g. sales invoice of Rs.1,000 issued before closing date but not recorded in the books of original entry.

Error of commission

When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct.

Example

Purchase of computer Rs.5,000 for office was wrongly debited to the furniture account.

Error of principle

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head

Example

Purchase of computer Rs.5,000 for office was wrongly debited to the stationery account. (both accounts belong to different main heads, like computer belongs to Asset and stationery belongs to Expense)

Learning With A&I

Error of original entry

When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr& Cr) is wrong although the amount is same

Compensating error

There are Circumstances when the effect of one transaction is neutralized by another error.

Example

Goods sold to Shoaib 5000 but posted into debit side with amount 500.

QUESTION No 3

Define Suspense Account?

Answer :

Whenever there is a difference the trial balance , such amount of difference shall be named as suspense account. Suspense Account is used to make both sides of trial balance equal.

QUESTION NO 4

What is accounting cycle process?

Answer:

The step involve in accounting cycle there are;

1. Accounting equation
2. Journal general
3. Ledger
4. Trial balance
5. Preparing final accounts (income statement and balance sheet)

QUESTION NO 5

Define Final Account?

Answer:

In final accounts we get an idea about the profitability and financial position of a business.

Learning With A&I

QUESTION NO 6

Preparation of Final Accounts

Answer:

Mostly the sole proprietors prepare following two financial statements as final accounts.

1. Income statement
2. Balance sheet

QUESTION NO 7

Define Income statement?

Answer:

Income statement is prepared to know the financial performance of an entity. This is prepared with the help of all ledger account balances. Income statement is also called (Statement of profit or loss).

Question No 8

How many components of financial statements?

Answer:

There are five components of financial statements;

1) **Statement of Financial Position**
2) **Statement of Profit or Loss and Other Comprehensive Income**
3) **Statement of Cash Flows**
4) **Statement of Changes in equity**
5) **Notes to the Financial Statements.**

Question No 9

Define Balance sheet?

Answer:

Balance sheet is prepared to know the financial position of an entity. Financial position refers to the financial strength of entity on a specific date.

Learning with A&I

Question No 10

Define Manufacturing?

Answer:

The procession of conversion from raw material into finished goods is called manufacturing.

Question No 11

Define Manufacturing account?

Answer:

An account which is used to accumulate all the manufacturing costs of goods completed a business during an accounting period.

Question No 12

Define Manufacturing entities?

Answer:

A process through which raw-material is put into workshop where certain other costs are incurred to convert that raw-material into finished products. Examples include; furniture manufacturers, jewelry makers.

Question No 13

Define Trading entities?

Answer:

Trading entities purchase goods in finished form, make those goods available in the showroom, do marketing to sell those goods to the customers. Examples include; importers, exporters.

Learning With A&I

Question No14

How Many Types of inventories?

Answer:

There are three types of inventories that can be identified in a manufacturing entity.

Material and supplies inventory:

This is the inventory for raw materials, store items, spare parts and indirect materials that are used in production.

Work in process inventory:

This is the inventory of semi-finished goods. It is the cost that represents work in process.

Finished goods inventory:

This is the inventory of completed products, which are ready for sale.

Question No 15

Define wages Account?

Answer:

Wages account show cost of production.

Question No 16

Define Net realizable value?

Answer:

Net realizable value (NRV) is the value of an asset that can be realized upon the sale of the asset.

Module No 16, 17, 18

Learning With A&I

Question No1

Define Sole Proprietorship?

Answer:

In proprietorship the owner is one and he alone get full profit and loss.

Question No 2

Define Partnership?

Answer:

In partnership the profit and loss is distributed among the partners.

Basis for distribution

1. **Interest on Capital**
2. **Partner's Salary**
3. **Profit sharing ratio**

Question No 3

Reporting difference between sole proprietorship and partnership entities

Answer:

Sole proprietorship and partnership both entities prepare Income Statement (Profit and loss account) and Statement of Financial Position (Balance Sheet) in a same manner. The only difference that is identified while preparing reports of both types of entities is distribution of profits among the owners.

Question No 4

Profit distribution statement

Answer:

For sole-proprietorship; the net profit/loss amount is directly transferred to the owner's capital account

For partnership firms; a statement is prepared in addition to the income statement and Statement of financial Position (balance sheet). It shows how profit is distributed among the partners, the outcome of which is the distributed profit that is then posted to the partners' current accounts.

Question No 5

Changes in constitution of partnership firm:

Answer:

- Admission of a new partner
- Retirement of an existing partner
- Death of a partner

Admission of a new partner:

A new partner may be admitted for different reasons such as personal influence, need of more capital, special skills.

At the time of admission of a new partner, certain adjustments are necessary, like:

- Calculation of new profit sharing ratio.
- Calculation and accounting treatment of goodwill
- Revaluation of net assets.

Retirement of a Partner:

When a partner intends to retire; his/her capital account balance after adjustments for share in goodwill and revaluation gains or losses is recognized as loan (liability) to the entity.

Death of a Partner:

At the time of death of a partner, his/her share in current years' profits is estimated based on previous year's net profit or average profit of past few years' profits (it would be mentioned in partnership agreement).

QUESTION NO 6

Goodwill Calculation methods:

ANSWER:

1. Average profit method
2. Super profit method
3. Market capitalization method

Learning With A&I

Average profit method:

Under this method, at first, average profit is calculated on the basis of the past few years' profits. After calculating average profit, it is multiplied by a number (times) 3, or 4, or 5, whatever, as agreed.

Super Profit Method:

Super profit is the excess of actual profit (average profit) over the normal profit of an entity. A common method of valuation of goodwill is the super profit method.

Market Capitalization Method:

Under this method value of the firm is first determined based on market capitalization rate using the following formula:

Market rate of return / Average profit of the firm x 100 the above formula will give an estimate of firm's value in the market.

Question No 7

Fixed Tangible Assets:

Answer:

These are the property, plant and equipment that are held by the entity a) for production or selling of goods or services, r. Examples include: land & Building, Plant & Machinery, Furniture & Fixtures, Motor vehicles, office equipment etc.

Question No 8

Fixed Intangible Assets

Answer:

These are the identifiable, non-monetary asset in control of the entity that have no physical existence and are expected to be useful for the entity for more than one accounting year. Examples include: trademark.

Learning With A&I

Question No 9

Current Assets:

Answer:

These are the assets recoverable and tradable within the normal operating cycle of an entity that is 12 months after the reporting date in normal circumstances. Cash and cash equivalents are also current assets.

Question No 10

Current Liabilities:

Answer:

These are the present obligations of the entity that are payable within the normal operating cycle of an entity that is 12 months after the reporting date in normal circumstances. These also include bank overdraft and short-term debts.

Question No 11

Non-Current Liabilities:

Answer:

These are the present obligations of the entity that are payable after one or more than one accounting year. These include; lease liabilities, bank loans, issuance of loan certificates and bonds.

Question No12

Purpose of preparing Statement of Cash Flows:

Answer:

Statement of Cash Flows is an analytical statement that is prepared to analyze all cash receipts and cash payments during an accounting period.

Cash Receipts = Cash In-flows

Cash Payments = Cash Out-flows

Short Notes, Important Question & Repeated Question Final Term & Mid term, Current Paper, Past Paper, Waqar Siddu Solved Paper, Quiz, Assignment, GDB, VU News Update

Subscribe Channel And Get More Such Post

آپ سب سے گزارش ہے کہ پلیز دعاؤں میں یاد رکھیں

اور ہمارے چینل کو لازمی سبکرائب کرنا نہ بھولیں

اللہ پاک آپ سب اپنے مشن میں کامیابی عطا فرمائے

آمین

Learning With A&I

https://youtube.com/channel/UC_Ar-KkTPgjaljUX2LimmOQ